

Title Report - Underwriter - commitment should work

TECHNICAL UNDERWRITING REPORT

Title Commitment Analysis & Risk Assessment

Commitment Number: 01-26006219-01T
Commitment Date: January 16, 2026 at 7:00 a.m.
Property: 675 Bunker Hill Road, Columbia, MS 39429-7832
County: Marion County, Mississippi
Parcel Number: 074-04-000-04-005
Report Date: [Current Date]
Underwriter: Old Republic National Title Insurance Company

1. EXECUTIVE SUMMARY

This title commitment is BLOCKED FROM CLOSING due to a critical deed recording defect that prevents satisfaction of Requirement 4. The recorded warranty deed (Instrument #20260174, recorded 01/13/2026) names Christopher Lane Thornhill and Sara E. Jackson as grantees instead of the intended buyer, Kyla B. Fortenberry. This fundamental defect must be corrected through a new recorded deed before any title policy can issue.

Additionally, the commitment contains:

- High-severity duplicate mineral exceptions requiring clarification and consolidation
- Medium-priority ownership discrepancy between vested owner (LLC) and seller (individual)
- Incomplete LLC compliance documentation blocking final underwriting approval

Current Readiness Score: 67/100 -- Significant remediation required before closing.

2. PROPERTY INFORMATION

Field	Details
Address	675 Bunker Hill Road, Columbia, MS 39429-7832
County	Marion County, Mississippi
Parcel Number	074-04-000-04-005
Total Acreage	88.00 acres
Legal Description	Multiple parcels: (1) NE1/4 of SE1/4 of Section 4, TSN, R18W; (2) SE1/4 of NE1/4 of Section 4, TSN, R18W (less 2 acres); (3) 13.98 acres in NE1/4 of NE1/4 of Section 4, TSN, R18W
Estate Type	Fee Simple

Assessed Value	\$9,030.00
Land Value	\$26,180.00
Improvements Value	\$34,010.00
Total Value	\$60,190.00

Tax Status

- 2025 County Taxes (1st Installment): \$1,132.52 -- PAID
- Delinquent Amount: \$0.00
- Status: Current and satisfactory

3. PARTIES TO THE TRANSACTION

Proposed Insureds

Party	Role	Status
Kyla B. Fortenberry	Owner/Proposed Insured (Owner's Policy)	Intended buyer; NOT named in recorded deed
Society Mortgage, ITS Successors and/or Assigns	Lender/Proposed Insured (Loan Policy)	Loan amount: \$80,808.00

Current Title Holders & Sellers

Party	Role	Status
Garner Tree Farm, LLC	Current Vested Owner	Named as grantor in recorded deed; LLC status unverified
Terri G. Crawley	Listed Seller	Individual; discrepancy with vested owner

LLC Members (Garner Tree Farm, LLC)

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

Incorrect Grantees (Recorded Deed)

- Christopher Lane Thornhill
- Sara E. Jackson

4. REQUIREMENTS STATUS

Summary Table

| Req. # | Requirement | Status | Priority | Notes |

|-----|-----|-----|-----|-----|

| 1 | Vested Owner/Seller Discrepancy | OPEN | MEDIUM | LLC vs. individual; requires explanation |

| 2 | Verify Open Deed of Trust | SATISFIED | LOW | No open deed of trust found in Marion County records |

| 3 | Bankruptcy Search | SATISFIED | LOW | No proceedings found for any parties |

| 4 | Record Deed to KYLA B. FORTENBERRY | FAILED | CRITICAL | Wrong grantees recorded; must be corrected immediately |

| 5 | Record Deed of Trust | PENDING | HIGH | Contingent on Requirement 4 satisfaction |

| 6 | LLC Documentation & Compliance | OPEN | HIGH | Operating agreement, good standing cert., member resolutions required |

Detailed Requirement Analysis

Requirement 1: Vested Owner vs. Seller Discrepancy -- OPEN (MEDIUM PRIORITY)

- Issue: Title commitment shows Garner Tree Farm, LLC as vested owner, but Terri G. Crawley is listed as seller
- Impact: Creates ambiguity regarding authority to convey; must be clarified before closing
- Action Required: Customer service must advise of circumstances explaining discrepancy; recommend written authorization from LLC confirming Terri G. Crawley's authority to act as seller on behalf of the LLC
- Timeline: Must be resolved before Requirement 4 can be satisfied

Requirement 2: Verify Open Deed of Trust -- SATISFIED (LOW PRIORITY)

- Finding: No open deed of trust found in Marion County records
- Verification Method: Inquiry of escrow personnel and proposed insured completed
- Status: Requirement satisfied; no further action required

Requirement 3: Bankruptcy Search -- SATISFIED (LOW PRIORITY)

- Parties Searched:
- Garner Tree Farm, LLC
- Terri G. Crawley
- Kyla B. Fortenberry
- Finding: No bankruptcy proceedings found for any party
- Status: Requirement satisfied; no further action required

Requirement 4: Record Deed from Garner Tree Farm, LLC to Kyla B. Fortenberry -- FAILED (CRITICAL PRIORITY)

- Requirement Text: "Record satisfactory executed Deed from GARNER TREE FARM, LLC, grantor(s) to KYLA B. FORTENBERRY, grantee(s), conveying caption premises in MARION county records"
- Current Status: REQUIREMENT NOT SATISFIED
- Critical Defect: Deed recorded on 01/13/2026 (Instrument #20260174) names Christopher Lane Thornhill and Sara E. Jackson as grantees instead of Kyla B. Fortenberry
- Title Impact: This creates a complete title defect preventing issuance of owner's policy to Kyla B. Fortenberry
- Action Required:
- Obtain corrected deed from Garner Tree Farm, LLC to Kyla B. Fortenberry
- Record corrected deed in Marion County records immediately
- Provide recorded deed copy with recording information to underwriting

- Clarify status of Christopher Lane Thornhill and Sara E. Jackson (whether deed was recorded in error or represents separate transaction)
- Timeline: MUST BE COMPLETED BEFORE CLOSING -- This is a blocking issue

Requirement 5: Record Deed of Trust -- PENDING (HIGH PRIORITY)

- Requirement Text: "Record satisfactory executed Deed of Trust from KYLA B. FORTENBERRY as Trustor, in favor of SOCIETY MORTGAGE, as Beneficiary, securing an original principal balance of \$80,808.00"
- Current Status: Contingent on Requirement 4 satisfaction
- Action Required: Cannot be satisfied until Kyla B. Fortenberry is properly vested in title through corrected deed
- Timeline: Must be recorded after Requirement 4 is satisfied

Requirement 6: LLC Documentation & Compliance -- OPEN (HIGH PRIORITY)

- Requirement Text: Submit (a) Copy of operating agreement and amendments or certification of none; (b) Evidence LLC is in good standing; (c) Resolution signed by all members authorizing transaction; (d) Other requirements following review of organizational documents
- Current Status: DOCUMENTATION NOT SUBMITTED
- Required Submissions:
 - Operating Agreement: Complete copy with all amendments, or certification that no amendments exist
 - Good Standing Certificate: Current certificate from Mississippi Secretary of State confirming Garner Tree Farm, LLC is in good standing
 - Member Authorization Resolution: Resolution signed by all four members (Ricky Lane McPhail, Terri Garner Crawley, Patsy Garner Brewton, Karen Garner Delancey) authorizing the sale transaction
 - Additional Documentation: Any other organizational documents required following review of above materials
- Action Required: Obtain and submit all documentation to underwriting for review and approval
- Timeline: Must be completed before final underwriting approval

5. EXCEPTIONS ANALYSIS

Overview

The commitment contains 12 exceptions. Two exceptions (1 and 8) create significant ambiguity regarding mineral interests and require consolidation. Exceptions 9-11 involve standard easements. Exception 12 addresses current tax status (satisfactory).

Critical Exception Issues

Exceptions 1 & 8: Duplicate and Overlapping Mineral Reservations -- HIGH RISK

Aspect	Exception 1	Exception 8
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Title	Mineral Reservations	Oil, Gas, Coal and Mineral Interests
Description	Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel in, on and under the Land Oil, gas, coal and other mineral interests together with the rights appurtenant thereto	

whether created by deed, lease, grant, reservation, severance, sufferance or exception |

| Scope | Minerals (general) | Oil, gas, coal, and other minerals (specific) |

| Overlap | Covers oil, gas, sand, gravel | Covers oil, gas, coal, and other minerals |

Critical Finding: The warranty deed on page 27 contains the following language:

> "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

This confirms that minerals are severed from the property and reserved by the grantor.

Issues Identified:

1. Redundancy: Exceptions 1 and 8 substantially overlap in scope, creating ambiguity about which exception controls
2. Lack of Specificity: Neither exception identifies the specific party holding the mineral rights or the date of severance
3. Scope Ambiguity: Exception 1 mentions "sand and gravel" while Exception 8 mentions "coal" -- unclear which minerals are actually reserved
4. Title Defect Risk: Buyer (Kyla B. Fortenberry) may be unclear about exact mineral rights being conveyed

Recommendation:

- Consolidate Exceptions 1 and 8 into a single, clear exception that states:
 - Specific mineral interests reserved (oil, gas, coal, sand, gravel, and other minerals)
 - Date of severance/reservation
 - Identity of party holding mineral rights (if ascertainable from records)
 - Reference to specific deed or instrument creating the reservation
 - Proposed Consolidated Language:
- > "All oil, gas, coal, sand, gravel, and other mineral interests in, on, and under the Land, as reserved and excepted in the warranty deed from [Grantor] to [Grantee], dated [Date], recorded [Recording Information], Marion County records."

Status: OPEN -- Requires clarification before policy issuance

Standard Exceptions (Acceptable)

Exception 2: Defects Appearing After Commitment Date

- Description: Any defect, lien, encumbrance, adverse claim, or other matter that appears for the first time in the Public Records or is created, attaches, or is disclosed between the Commitment Date and the date on which all Schedule B, Part I Requirements are met
- Status: Standard exception; acceptable
- Action: None required

Exception 3: Survey Exceptions

- Description: Facts which would be disclosed by a comprehensive survey of the premises herein described
- Status: Standard exception; acceptable
- Action: Buyer may obtain survey if desired; not required for title insurance

Exception 4: Rights of Parties in Possession

- Description: Rights or claims of parties in possession
- Status: Standard exception; acceptable

- Action: Verify property is unoccupied or that occupants have no adverse claims

Exception 5: Mechanics' and Contractors' Liens

- Description: Mechanics', contractors' or material men's liens and lien claims, if any, where no notice thereof appears of record
- Status: Standard exception; acceptable
- Action: Verify no recent construction or improvements that could trigger mechanic's liens

Exception 6: Changes in Title After Commitment Date

- Description: Any changes in title occurring subsequent to the effective date of this commitment and prior to the date of issuance of the title policy
- Status: Standard exception; acceptable
- Action: None required

Exception 7: Taxes and Special Assessments

- Description: Taxes and special assessments for current tax year and all subsequent years
- Status: Standard exception; acceptable
- Action: Verify current tax status (see Exception 12 below)

Easement Exceptions (Acceptable)

Exception 9: VYVX, Inc. Easement

- Grantee: VYVX, Inc.
- Grantor: Betty Carolyn G. McPhail
- Date: 03/31/1997
- Recorded: 06/09/1997, Book 1224, Page 57, Marion County records
- Type: Right of Way and Easement Agreement
- Status: Acceptable; standard utility easement
- Impact: Minimal impact on property use; standard exception for title insurance

Exception 10: Bunker Hill Water Association Easement (2009)

- Grantee: Bunker Hill Water Association
- Grantor: Garner Tree Farm, LLC
- Date: 08/19/2009
- Recorded: 07/21/2010, Instrument No. 201002482, Book 1638, Page 98, Marion County records
- Type: Water Line Easement
- Status: Acceptable; standard utility easement
- Impact: Minimal impact on property use; standard exception for title insurance

Exception 11: Bunker Hill Water Association Easement (2023)

- Grantee: Bunker Hill Water Association
- Grantor: Garner Tree Farm, LLC
- Date: 04/06/2023
- Recorded: 04/10/2023, Instrument No. 20230965, Book 2023, Page 965, Marion County records

- Type: Deed of Easement
- Status: Acceptable; standard utility easement
- Note: This appears to be a renewal or amendment of Exception 10; verify whether both easements remain in effect or if Exception 10 has been superseded

Tax and Assessment Exception

Exception 12: Taxes and Assessments

- Parcel: 074-04-000-04-005
- 2025 County Taxes (1st Installment): \$1,132.52 -- PAID
- Delinquent Amount: \$0.00
- Assessed Value: Land \$9,030.00, Building \$0.00, Total \$9,030.00
- Status: SATISFACTORY -- Current and paid
- Action: None required

6. RISK FLAGS ASSESSMENT

Risk Flag Summary

Flag ID	Severity	Category	Status	Impact
RF-001	CRITICAL	Deed Recording Defect	OPEN	Blocks closing; prevents policy issuance
RF-002	HIGH	Mineral Exceptions	OPEN	Title ambiguity; requires consolidation
RF-003	MEDIUM	Ownership Discrepancy	OPEN	Authority to convey unclear

CRITICAL FLAG: RF-001 -- Wrong Grantee in Recorded Deed

Severity Level: ? CRITICAL -- BLOCKING ISSUE

Requirement: Requirement 4 mandates recording a deed from GARNER TREE FARM, LLC to KYLA B. FORTENBERRY

Current Status: REQUIREMENT NOT SATISFIED

Defect Description:

The recorded warranty deed (Instrument #20260174, recorded 01/13/2026) conveys the property to Christopher Lane Thornhill and Sara